REALMFORGE · BLOCKCHAIN BK-01

How the blockchain side of RealmForge works

Two smart contracts (LevelNFT, ForgeCoin), one trusted signer, and how every level, run, race and season is settled on-chain.

1. The big picture
2. The trust model: one signer, checked by the contracts
3. Where a level lives
4. Publishing a level (LevelNFT)
5. The FORGE token (ForgeCoin)
6. Playing a level and settling the run
7. Versus races (escrow)
8. The level market and royalties (ETH)
9. Seasons
10. How the app reads the chain
11. Security summary
12. Gas and performance
13. Deployment
14. Known limits

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This document explains what RealmForge puts on the blockchain, what it keeps off it, and how a level, a run, a race or a season goes from the browser to a confirmed transaction. It is written for players who want to know what they are signing, and for the oral exam (security, performance and design choices).

The same file is shown in the app at **/how-it-works** and exported to `docs/RealmForge_Blockchain.pdf`.

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1. The big picture

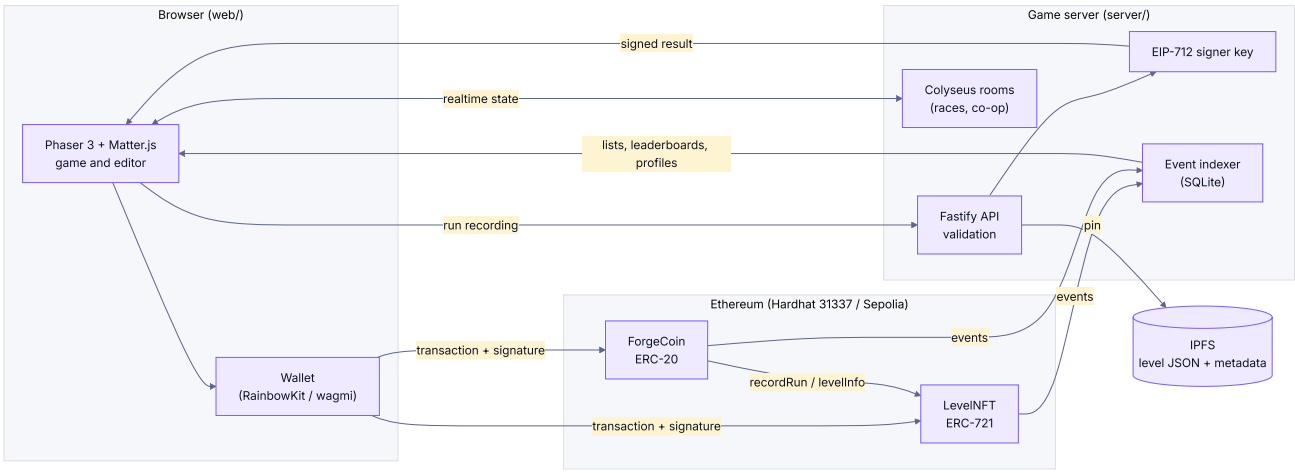
RealmForge uses **two smart contracts, each with its own token**:

Contract	Standard	What it holds	Owner of the design
`LevelNFT`	ERC-721 + ERC-2981 (royalties) + EIP-712	one NFT per published level, level stats, a fixed-price ETH market	Student A
`ForgeCoin`	ERC-20 + ERC-2612 Permit + Capped + Pausable + EIP-712	the FORGE token, play fees, rewards, race escrow, season pool	Student B

No gameplay runs on-chain. Physics, the editor, multiplayer rooms and run validation all happen off-chain, in the browser and on the game server. The chain only holds three things:

1. **Ownership**: who owns which level.
2. **The economy**: FORGE balances, fees, rewards, stakes and prizes.
3. **Settlement**: the final, signed result of a run, a race or a season.

Gameplay stays off-chain because a 60 Hz physics simulation would cost a transaction per frame, and a block time of about 12 seconds cannot carry a real-time race.



2. The trust model: one signer, checked by the contracts

The contracts cannot watch a game being played, so they need someone to say "this run really happened". That someone is the **game server**. It replays or checks the run, then signs the result with an EIP-712 typed signature. The player sends that signature to the contract, which checks it before paying anything.

Each signed message is bound to:

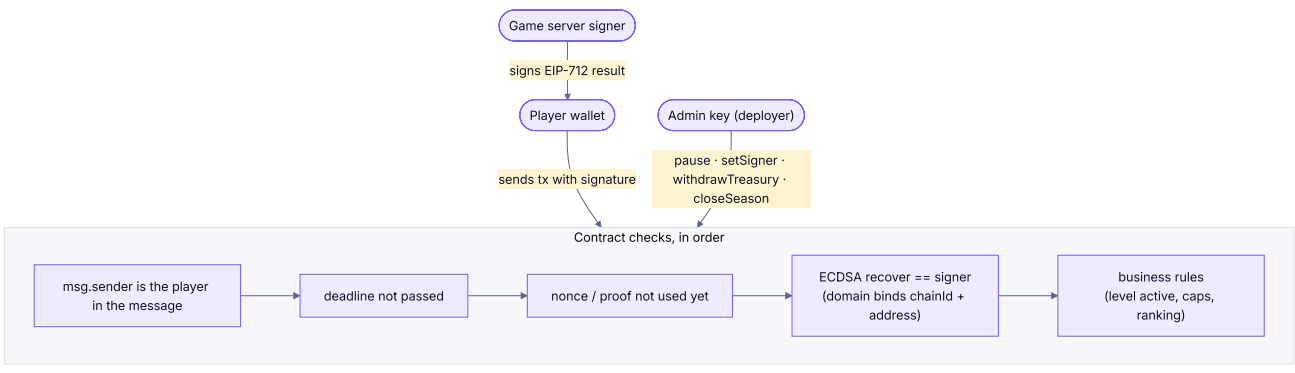
Field	What it prevents
`chainId` (in the domain)	reusing a Hardhat signature on Sepolia, or the other way round
`verifyingContract` (in the domain)	reusing a `LevelNFT` signature against another contract
`nonce` (random, 256 bits)	submitting the same run twice
`deadline` (default 1 hour)	using an old or leaked signature later
`player` / `creator` + `msg.sender` check	someone else cashing in my signed run

The two EIP-712 domains are `RealmForge LevelNFT` and `RealmForge ForgeCoin`, both version `"1"`. The signed types are, word for word:

```
ClearProof(address creator,bytes32 layoutHash,uint256 deadline)
RunResult(address player,uint256 levelId,uint32 timeMs,bool cleared,uint16 coins,uint256 nonce,uint25
6 deadline)
RaceResult(bytes32 roomId,address[] ranking,uint256 deadline)
SeasonResult(uint256 season,address[] players,address[] creators,uint256[] shares)
```

A server test compares these strings with the Solidity source, so the two sides cannot drift apart.

> **The signer is a centralisation point, and we say so.** Whoever holds the signer key can claim that any run happened. The contracts limit the damage (per-run reward caps, 200 FORGE per player per day, a 100 M supply cap) and the admin can rotate the key with `setSigner` or stop everything with `pause`. The full analysis is in `docs/security/THREAT_MODEL.md`.



3. Where a level lives

A level is a JSON document (`level.v1.json`). It is too large to store on-chain at a reasonable price, so:

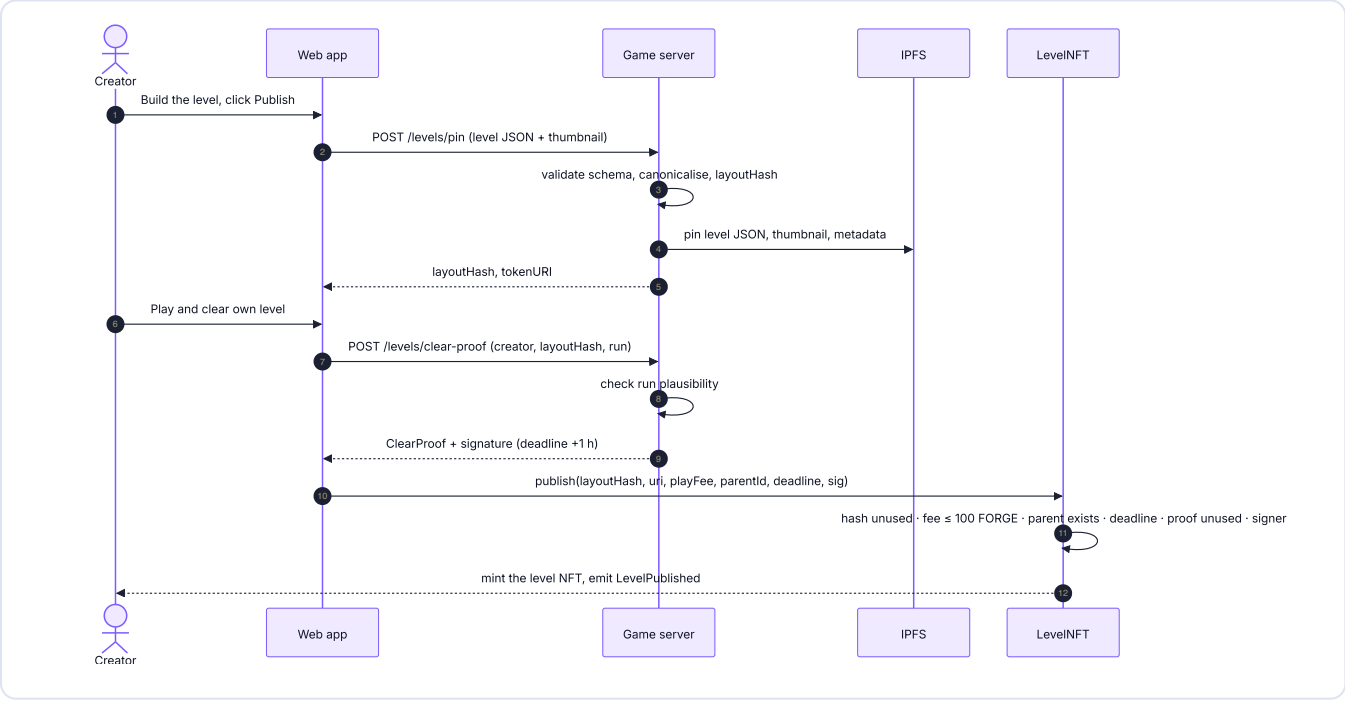
1. The JSON is **canonicalised** (sorted keys, fixed number formatting) so that the same level always gives the same bytes.
2. Its hash, `layoutHash = keccak256(canonical JSON)`, is the level's fingerprint.
3. The JSON, a thumbnail and an ERC-721 metadata file are **pinned on IPFS**.
4. Only the `layoutHash` and the token URI (`ipfs://<metadata CID>`) go on-chain.

Anyone can download the JSON from IPFS, hash it and compare with the on-chain `layoutHash`: if one byte changed, the hash no longer matches. The web client and the server share a test vector to make sure they hash the same level to the same value.

`LevelNFT` also refuses a `layoutHash` that was already published (`hashUsed`), so nobody can mint a copy of someone else's level byte for byte.

4. Publishing a level (LevelNFT)

Before a level can be minted, its creator must **finish it themselves** in the editor. This stops people from publishing impossible levels to collect fees. The proof is a server-signed `ClearProof`.



What the creator chooses at publish time:

- `playFee`: what each player pays per run, from 0 to 100 FORGE.
- `parentId`: 0 for an original level, or the id of the level it remixes (the parent creator then shares royalties).

After publishing, the owner can change the fee (`setPlayFee`), take the level offline (`setActive(false)`), and anyone can `like` it once.

5. The FORGE token (ForgeCoin)

FORGE is a standard ERC-20 with 18 decimals and a hard cap of **100,000,000 FORGE**. New FORGE only appears in two ways:

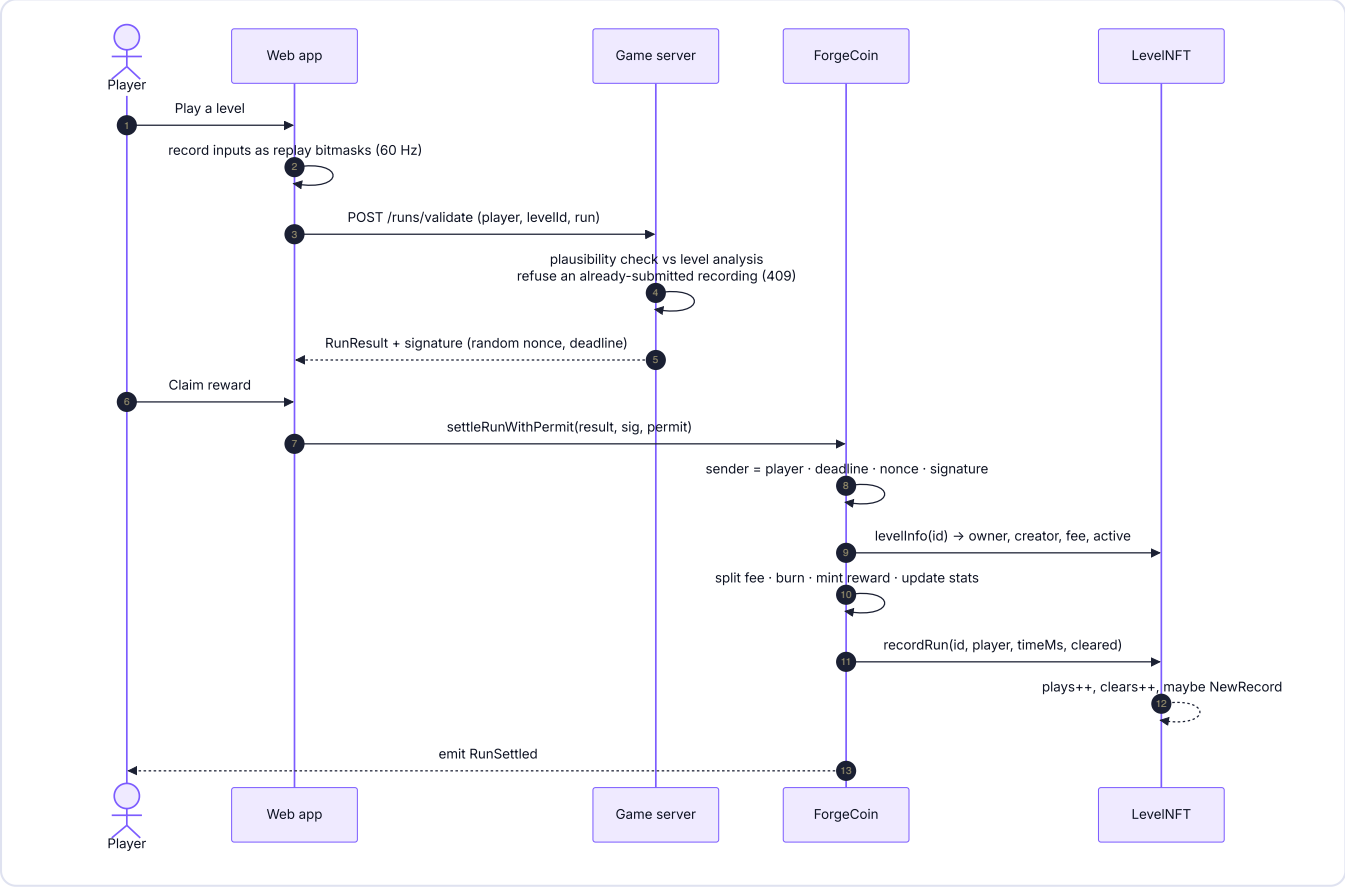
- **The faucet**: `claimFaucet()` gives 100 FORGE once per address, so a new player can start playing. To limit fake wallets, the faucet mints at most 10,000 FORGE per UTC day across everyone.
- **Rewards**: clearing someone else's level mints FORGE to the player (see §6).

FORGE leaves circulation through a **burn**: 5% of every play fee is destroyed.

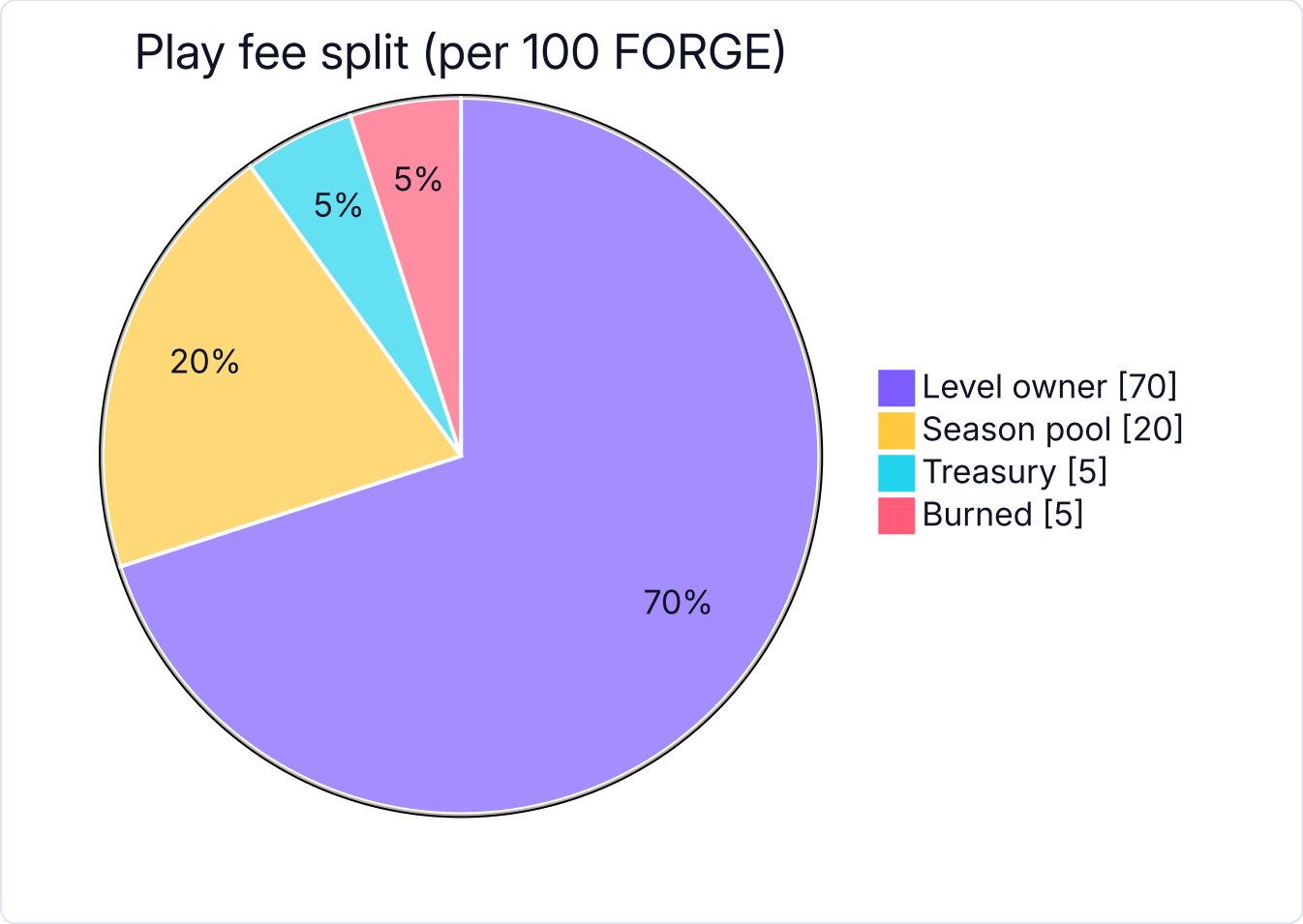
FORGE supports **ERC-2612 Permit**, so a player can sign the fee approval off-chain and settle a run in a single transaction (`settleRunWithPermit`) instead of two (`approve` then `settleRun`).

6. Playing a level and settling the run

This is the most common transaction in the game.



Where the play fee goes



The split is done in basis points (`OWNER_BPS = 7000` , `POOL_BPS = 2000` , the rest to the treasury, half of which is burned). Any rounding remainder goes to the treasury, so `owner + pool + treasury == fee` always holds, which a fuzz test checks.

How the reward is computed

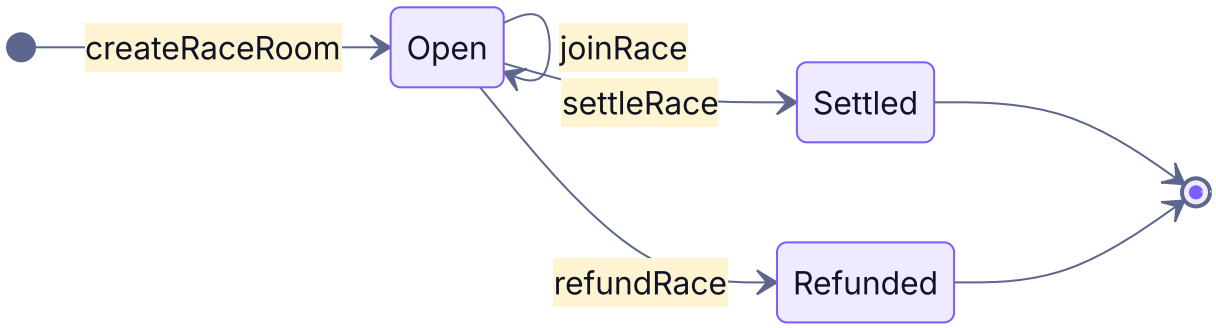
The reward is only paid for a **cleared** run by someone who is **not** the level's owner or original creator (otherwise an owner could farm their own level):

Part	Amount
Base + difficulty	`5 + 45 × (1 − clears / plays)` FORGE, at most 50
First clear ever of the level	+20 FORGE
New best time	+10 FORGE
In-game coins	+0.1 FORGE per coin, at most +5

The total is then clipped to what is left of the player's **200 FORGE daily cap** and of the global supply cap. Hard levels (few clears per play) pay more than easy ones, which rewards creators who make good challenges and players who beat them.

7. Versus races (escrow)

In a race, 2 to 4 players stake the same amount of FORGE, race in real time in a Colyseus room, and the server signs the ranking.



Call	Who	Rule
`createRaceRoom(roomId, levelId, stake)`	the room creator	escrows the creator's stake; the level must be active
`joinRace(roomId)`	each other player	escrows the same stake; at most 4 players, within 1 hour
`settleRace(roomId, ranking, deadline, sig)`	anyone	needs the server's `RaceResult` signature
`refundRace(roomId)`	anyone	only after 1 hour without settlement; returns every stake

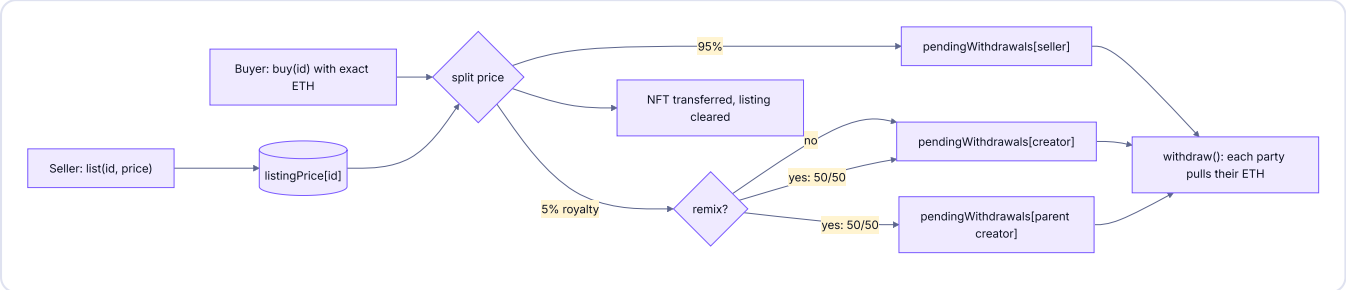
When the race settles, the pot (`stake × players`) is paid as:

Recipient	Share
1st place	60%
2nd place	25%
Level owner	10%
Season pool	5% + rounding dust

The contract checks that the 1st and 2nd places are two different players of that room before it checks the signature. If the server never signs (crash, network, disconnect), **anyone** can call `refundRace` after one hour, **even while the contract is paused**, so stakes can never be trapped. An invariant test checks that the contract always holds exactly the stakes, pool and treasury it owes.

8. The level market and royalties (ETH)

Levels are NFTs, so they can be resold. `LevelNFT` has a built-in fixed-price market paid in **ETH**:



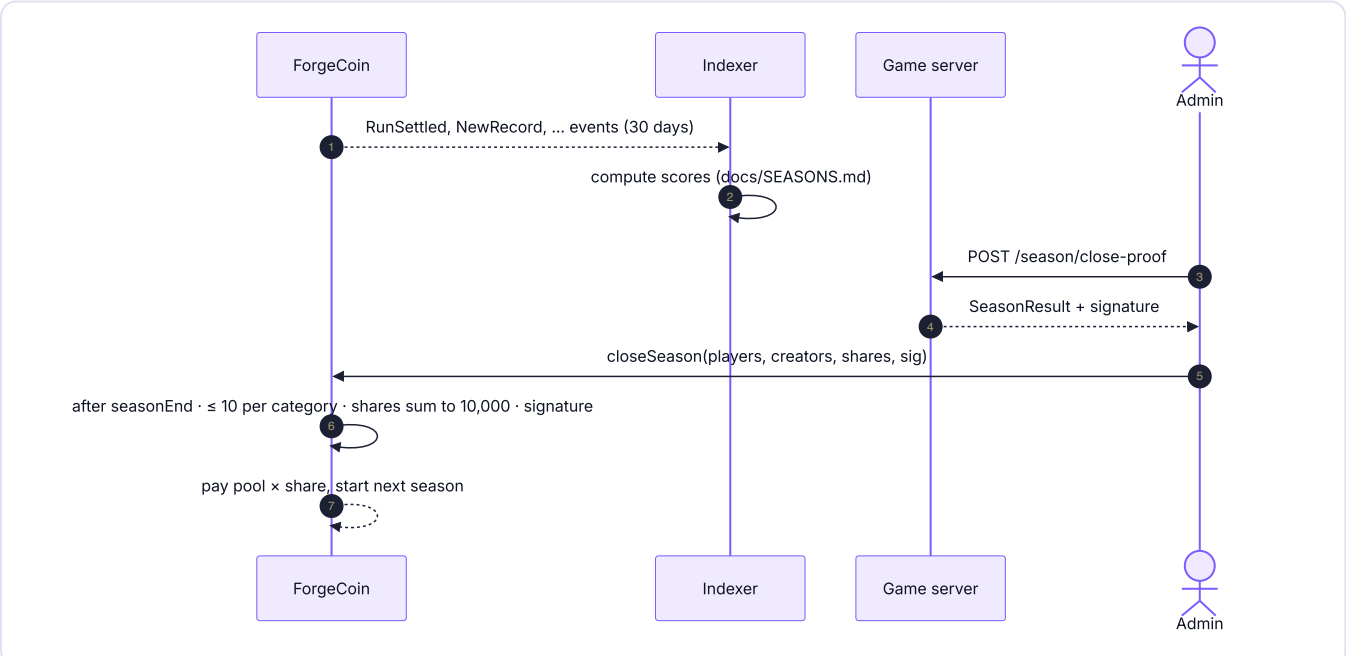
Two design choices matter here:

- **Pull payments.** `buy` never sends ETH. It only credits `pendingWithdrawals`, and each party calls `withdraw()` later. A seller whose wallet rejects ETH cannot block a sale, and there is no reentrancy surface during the transfer.
- **ERC-2981.** External marketplaces (OpenSea and others) can read `royaltyInfo` and pay the 5% royalty to the creator. ERC-2981 only supports one receiver, so the remix split only applies to the built-in market (`TODO(studentA)` in the contract).

Whoever owns the NFT receives the 70% of play fees, so buying a popular level is buying its income.

9. Seasons

Every 30 days, the **season pool** (20% of play fees + 5% of race pots) is shared between the top 10 players and the top 10 creators.



Closing a season needs **two keys**: the server signs the result and the admin submits it. A leaked signer key alone cannot empty the pool. Every input is a public event, so anyone can recompute the ranking and compare. The scoring rules are in `docs/SEASONS.md`.

10. How the app reads the chain

Reading state straight from the contracts for every list would be slow and would need `ERC721Enumerable`, which costs extra storage on every mint. Instead:

- The **indexer** in `server/` follows `LevelNFT` and `ForgeCoin` events with viem, and writes them to SQLite. It remembers the last processed block, so it can restart and catch up.
- The **API** serves level lists, leaderboards, market listings, profiles and season scores from that database.
- The **web app** reads small, live values directly with wagmi (your FORGE balance, a race room, the season pool) and sends every transaction from your own wallet. The server never holds player funds or player keys.

11. Security summary

Rule	Where
OpenZeppelin v5 for every standard, no hand-written ERC code	both contracts
`nonReentrant` on every function that moves value; checks → effects → interactions	`buy`, `withdraw`, `settleRun`, races, `closeSeason`
Pull payments for ETH	`LevelNFT.withdraw`
Custom errors and an event for every state change	both contracts
Roles with `AccessControl` (`GAME_ROLE`, `SIGNER_ROLE`, `DEFAULT_ADMIN_ROLE`)	both contracts
Signatures bound to nonce, deadline, chain and contract	every EIP-712 message
Circuit breaker that never traps funds (`pause`, while `refundRace` and transfers keep working)	`ForgeCoin`
Bounded loops: at most 4 race players and 10 winners per season category	`ForgeCoin`
Not upgradeable: the rules cannot change after deployment	both contracts
Permit front-running handled with `try/catch`	`settleRunWithPermit`

The threat model (`docs/security/THREAT_MODEL.md`) lists each threat with its test, and `docs/security/SLITHER.md` has the static analysis results.

12. Gas and performance

Typical costs measured on the integration tests (`docs/GAS.md`):

Action	Gas
Publish a level	250 k – 270 k
Settle a run (with permit, one transaction)	about 257 k
Create a race / join a race	184 k / 75 k – 80 k
Buy a level / withdraw	88 k / 40 k
Claim the faucet	82 k – 116 k

The main savings: tightly packed level stats (one storage slot for fee, plays, clears, likes and best time), no `ERC721Enumerable` , internal transfers for the fee split, and the permit path that saves an `approve` transaction.

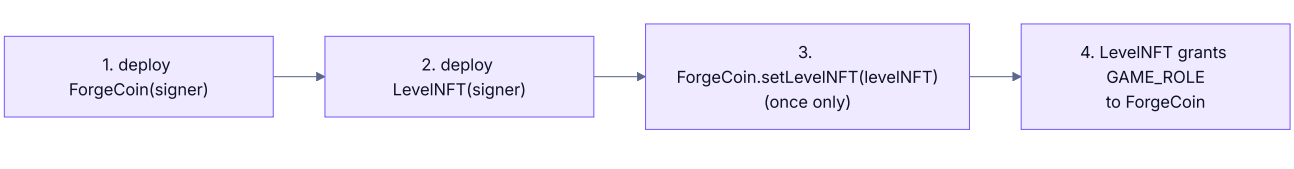
13. Deployment

Network	Chain id	Use
Hardhat local	31337	development (`npm run deploy:local`)
Sepolia	11155111	class demo

Sepolia addresses (from `contracts/ignition/deployments/chain-11155111/deployed_addresses.json`):

Contract	Address
`LevelNFT`	`0xC040D6E51e6e59f1764Bc30c1Cf5fB40E4736f09`
`ForgeCoin`	`0x5d40434c1B59F4f2Be0B986373C074571133421e`

The Ignition module (`contracts/ignition/modules/RealmForge.ts`) deploys in four steps, because ForgeCoin calls LevelNFT and LevelNFT must allow it:



After any contract change, `contracts/scripts/export-abi.ts` regenerates the ABIs used by `web/` and `server/` .

14. Known limits

- **The signer is trusted** to say a run happened. The server checks that the position trace is plausible (starts at the spawn, never moves faster than the physics allows, hits the checkpoints in order, ends at the goal, is not faster than the level's minimum time, and collects no more coins than the level holds). Full headless replay of the input log is a stretch goal.
- **Fake wallets** can still collect the faucet and rewards. The daily faucet budget and the 200 FORGE per-day cap per wallet bound the damage, but cannot stop it.
- **Seasons are not automatic**: someone has to send `closeSeason` after the end date.
- **Race room ids** are chosen off-chain, so someone could create a room id first and block that one room (low impact).
- FORGE has no market value: this is a testnet demo.